

The effects of a speculative asset price on the supply of money in a post keynsian framework

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1 Introduction

- (a) model provides a missing link between debates on financialization and PK models that are mostly focused on the real economy.
- (b) the notion of speculation and liquidity preference has always been there, but whether and to what extent it has an impact is debate. while for mainstreamers money as a whole is only a veil, Keynes emphasizes that the demand for money – e.g. in the form of hoarded savings – can have real impacts. however, in treatise of money he denies that the supply of money for speculative purposes has such impact. our approach shows what happens if there is such a link and clarifies the most obvious assumptions that come with imposing one in a general framework of endogenous money.
- (c) our argument on turnover implicitly creates a multiplier that governs the mismatch in scale between speculative transactions and GDP (also already discussed in the Treatise!)

2 A simple static model

2.1 The core model

Three versions:

- (a) In the first one just speculation is added and it is shown how this inflates balance sheets.
- (b) In the second one we impose the link via c to show this has real impact. we could compare this with a scenario of rising inequality.
- (c) we do the same as in c with a different notion of causality, where increasing total bank balance sheets constrain lending to that the reaction of the banking sector is modeled in greater detail. should give a result similar to (b) that is better explained.

2.2 Policies

→ for this we need some 2/4 standard panel to Xplain results.

3 Steps towards a dynamic model